IMP Note

- Everyone must review the **Study Text** before going through these notes. This will help you understand the concept better.

1. Fee Dependency

- Self Interest threat
- intimidation threats

non-listed client

- total fees exceed 30% of the firm's total fees for five consecutive years.
- engagement quality review should be performed

safe guard

- Reducing the extent of other services provided to the client.
- Increasing the client base or services provided to other clients to reduce dependency.
- Having an appropriate reviewer who is not a member of the firm review the work.
- Ensuring partner compensation is not significantly influenced by client fees.
- For a joint audit arrangement, where two or more firms are engaged to conduct the audit, the involvement of the other firm can be considered a safeguard provided the fee dependency applies to only one firm and each firm performs sufficient work to take full responsibility for the audit opinion

Listed Client

- total fees from a listed audit client exceed 15% of the firm's total fees for two consecutive years.

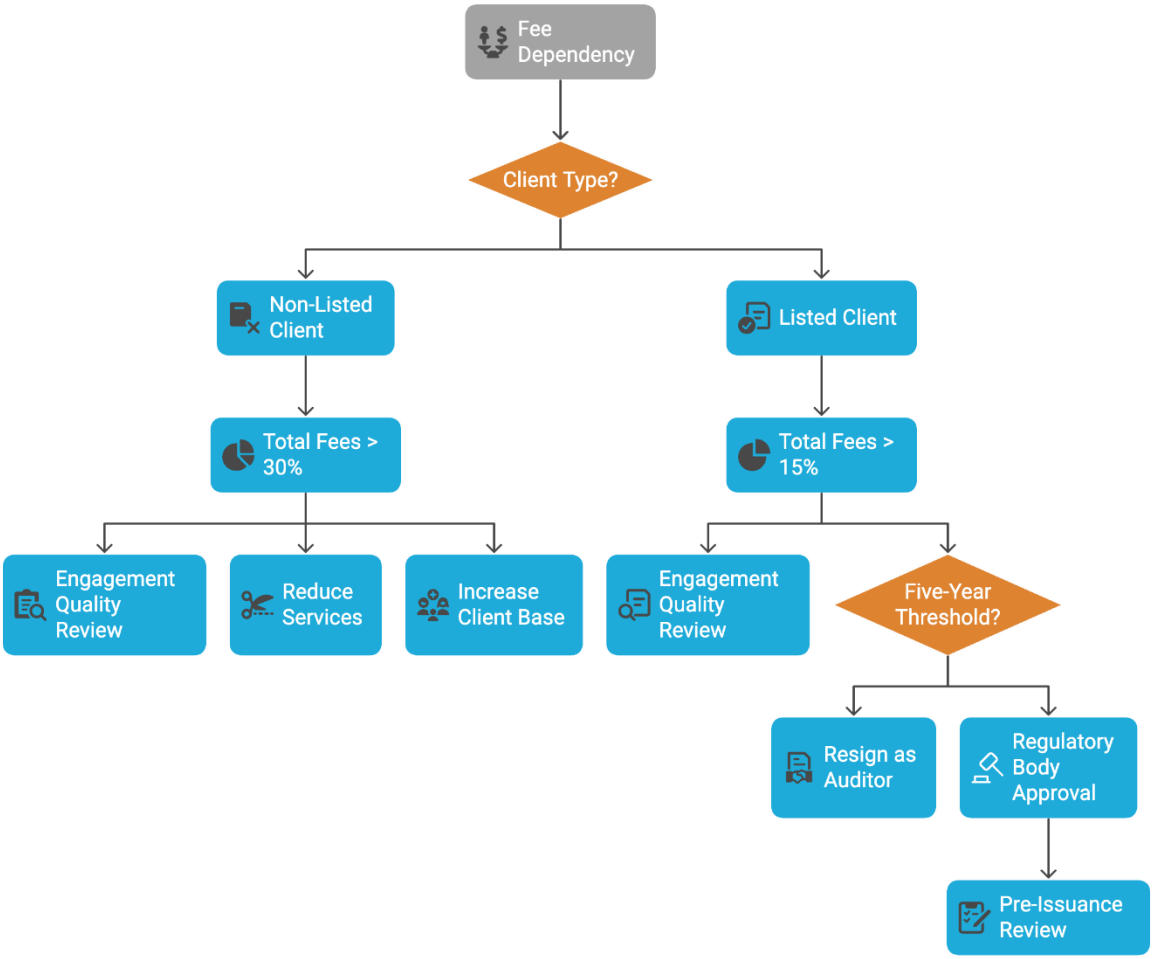
Safe guard

- An engagement quality review should be performed by a person not a member of the audit firm expressing the opinion prior to the 2nd year audit opinion being issued.
- If fees remain at this level for five consecutive years, the firm must resign as auditor after the audit opinion on the 5th year is issued.
- For a joint audit arrangement, where two or more firms are engaged to conduct the audit, the involvement of the other firm can be considered a safeguard provided the fee dependency applies to only one firm and each firm performs sufficient work to take full responsibility for the audit opinion.

The only exception to this requirement is if:

- a regulatory professional body in the relevant jurisdiction agrees that there is a compelling reason to continue “having regard to the public interest”; **and**
- a pre-issuance review is performed before the audit opinion is issued on the sixth and subsequent year’s financial statements.

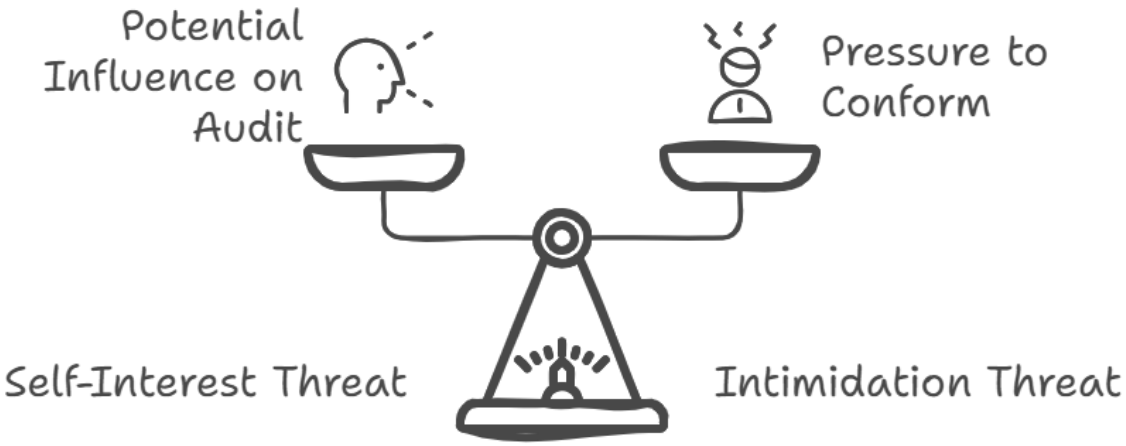
Fee Dependency Safeguards



2. Gifts and hospitality

- self-interest threat
- intimidation threat
- Familiarity threat

ex
A client offers to take the audit team out for an expensive meal. This creates a self-interest threat. Matters to consider before accepting or rejecting the offer include whether the meal is before or after the auditor's report has been signed. If before, the offer of the meal could be intended to influence the outcome of the audit.



3. Owning shares/financial interests

- self-interest threat

- When evaluating the threat, the factors which should be considered include who holds the financial interest and whether the financial interest is direct or indirect.

- A direct, or material indirect, financial interest in the audit client must not be held by:

- the firm or a network firm

- an audit team member or the immediate family of a team member

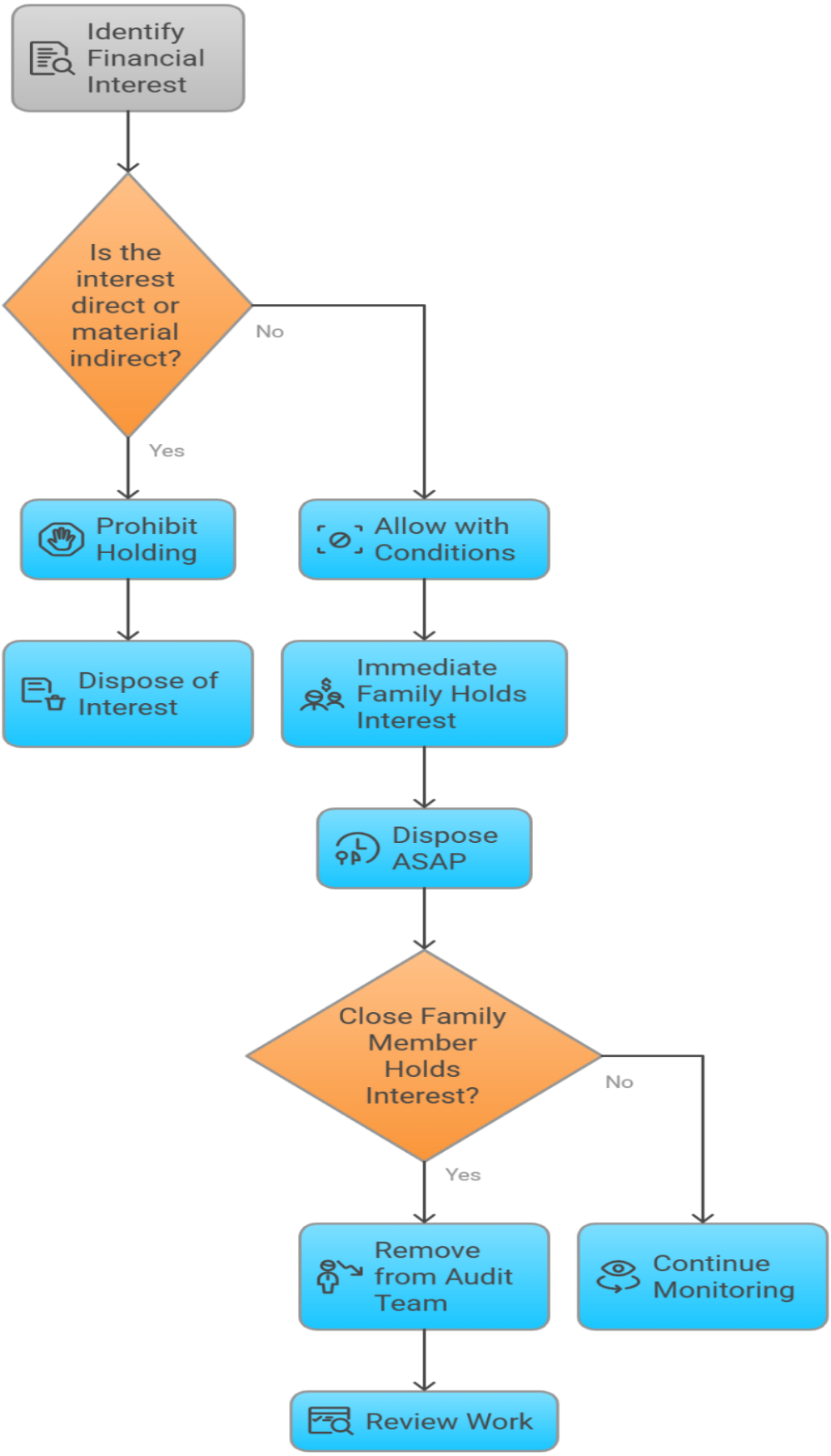
- a partner working in the office connected with the audit engagement partner

- any partner providing non-audit services to the audit client.

Safe guard

- An immediate family member may hold a financial interest such as pension or share options but must dispose of it as soon as practicable when the family member has the right to do so, e.g. when there is a right to exercise the option.
- Financial interests received indirectly e.g. by inheritance or gifted, must be disposed of immediately.
- If a close family member of an audit team member holds a direct, or material indirect financial interest in an audit client, the person must be removed from the team until the financial interest is disposed and an appropriate review of the work must be performed.

Managing Financial Interests in Audits



4. Loans and guarantees

Loan

- Self-interest Threat
- advocacy Threat
- Familiarity Threat

When created?

The loan of personnel to an audit client

Safeguards include:

- Conducting an additional review of the work performed by the loaned personnel.
- Not including the loaned personnel in the audit team.
- Not giving the loaned personnel audit responsibility for any function or activity they performed during the temporary assignment.

Guarantees

- Self-interest threat
- Advocacy threat

When created?

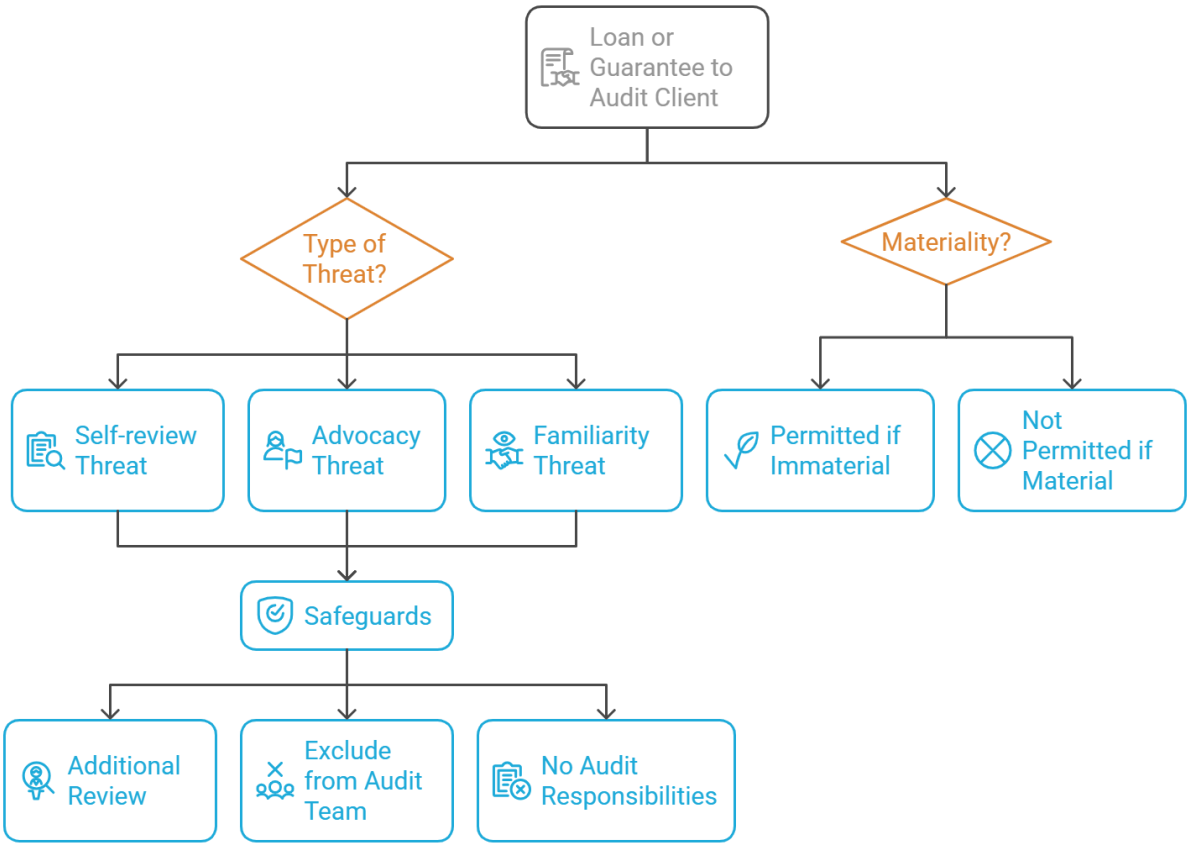
The significance of the threat depends on whether the loan or guarantee is with a bank or similar financial institution and whether the amount is material.

Not

Loans and guarantees to audit clients are not permitted

unless immaterial to the firm or individual making the loan or guarantee, and the client.

Loans and Guarantees in Audit Context



5. Overdue fees

- self-interest threat

when created

- A self-interest threat may be created if fees payable by an audit client are overdue during the audit engagement. The firm is expected to obtain payment before the auditor's report is issued.
- Factors which should be considered when evaluating the threat include the value of the debt, how long the debt has been outstanding and the ability and willingness of the client to pay the overdue fees

Why it's important to resolve this issue?

- The firm may treat the client favourably to ensure the fees are paid.

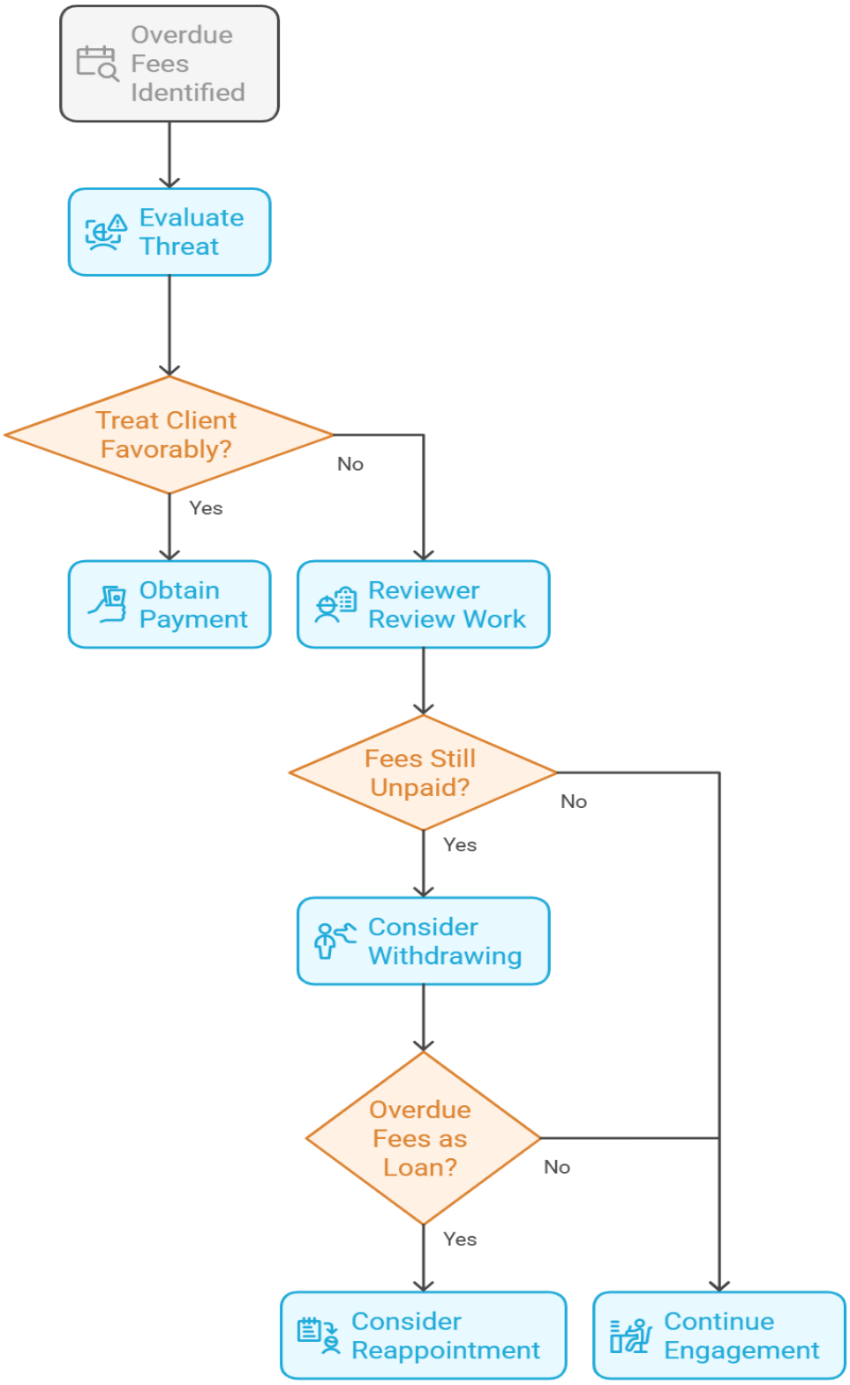
Safe Guard

- Obtain partial or full payment for the fees
- Have an appropriate reviewer who did not take part in the audit review the work performed.
- If fees remain unpaid for too long, withdrawing from the engagement may be necessary.

Situation out of the hand

- When fees remain overdue for a significant amount of time, the firm should consider whether the overdue fees constitute a loan, and whether it is appropriate to seek reappointment or continue with the engagement.

Managing Overdue Fees in Audit Engagements



6. Business relationships

- self-interest Threats
- intimidation threats

when created?

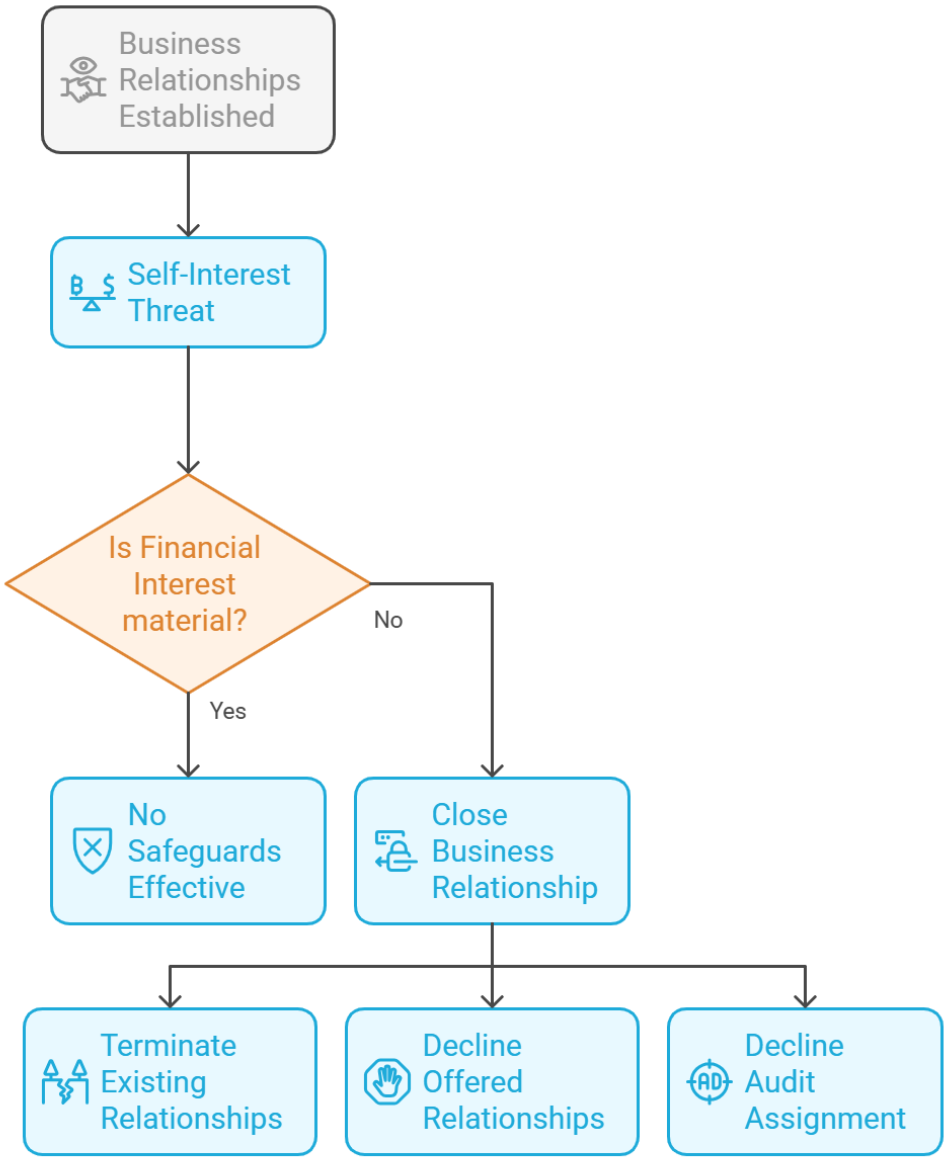
- Business relationships between audit firms and clients create a **self-interest threat**, as auditors may become financially invested in the client's success, compromising independence.
- The purchase of goods and services from an assurance client does not normally give rise to a threat to independence, provided the transaction is in the normal course of business and on commercial terms.

Safe Guard

- unless the financial interest is immaterial and the relationship insignificant, **no** safeguards can reduce the risk to an acceptable level,
- A firm, network firm or audit team member should not have a close business relationship

- terminate such business relationships already established;
- decline any such business relationships offered; or
- decline the audit assignment.

Managing Business Relationships in Auditing



7. Potential employment with an audit client

- self-interest threat
- familiarity threat
- intimidation threat.

A familiarity or intimidation threat might be created if a director or officer of an audit client (or an employee in a position to exert significant influence over the financial statements) was a partner of the audit firm or an audit team member

when created?

If a member of the engagement team has reason to believe they may become an employee of the client they will not wish to do anything to affect their potential future employment.

Safe guard

- The firm must establish policies and procedures which require individuals to notify the firm of the possibility of employment with the client.
- Remove the individual from the assurance engagement.
- Have an appropriate reviewer review any significant judgements made by that individual



8. Former Partner/Audit Team Member Restrictions

- familiarity threat
- intimidation threat

when created?

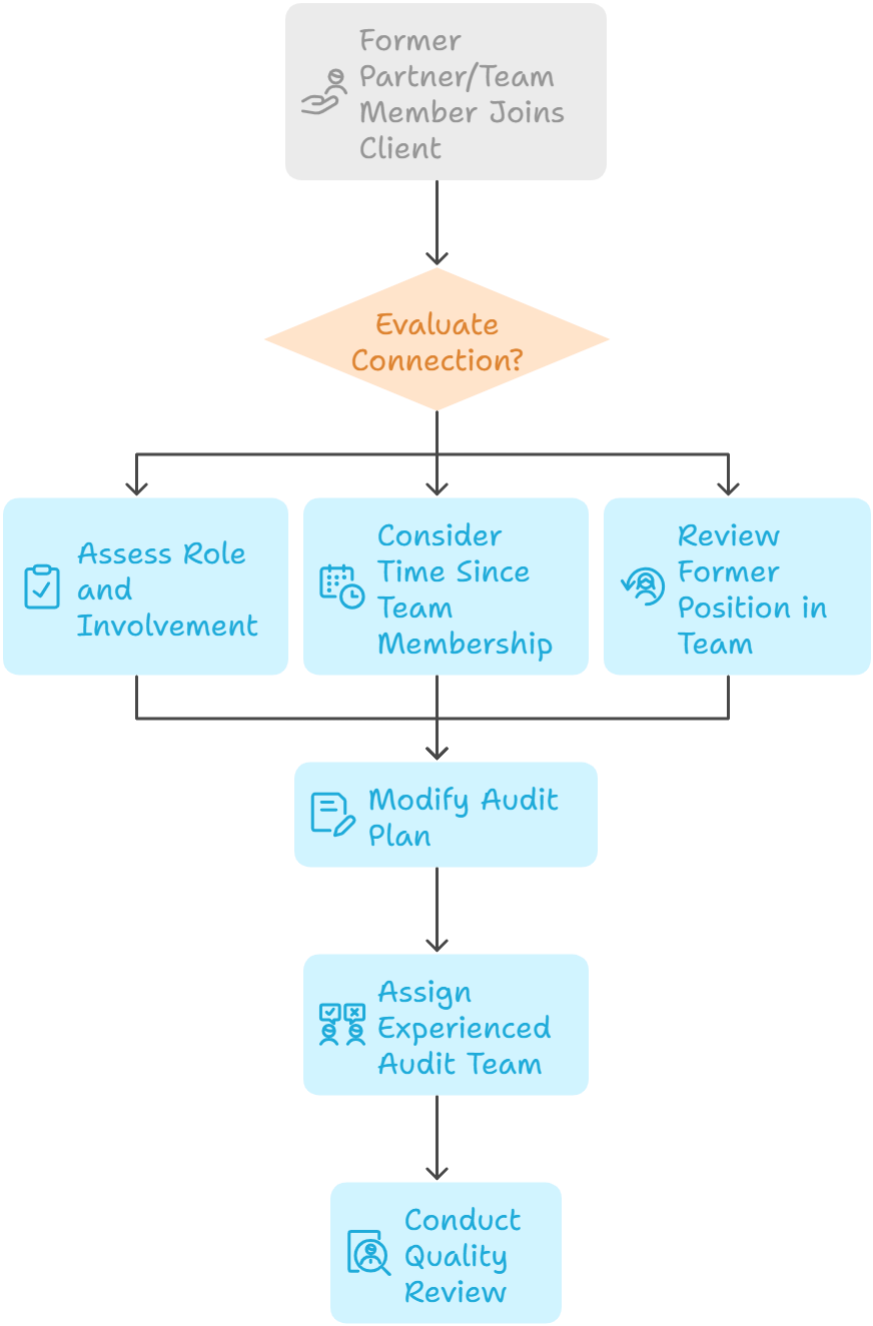
When a partner or audit team member joins an audit client as a director or in a position of influence, the firm must ensure that no significant connection remains between the firm and the individual who has left.

- the position the individual has taken at the client;
- the amount of involvement the individual will have with the audit team;
- the length of time since the individual was a member of the audit team or firm; and
- the individual's former position in the audit team or firm.

Safeguards

- modifying the audit plan;
- assigning a sufficiently experienced audit team; and
- quality review.

Managing Former Partner/Audit Team Member Restrictions



9. Contingent fees

- Self-interest threat
- Intimidation threat

When created?

Fees based on a particular outcome, e.g. level of profits of the company, are not permitted for audit engagements

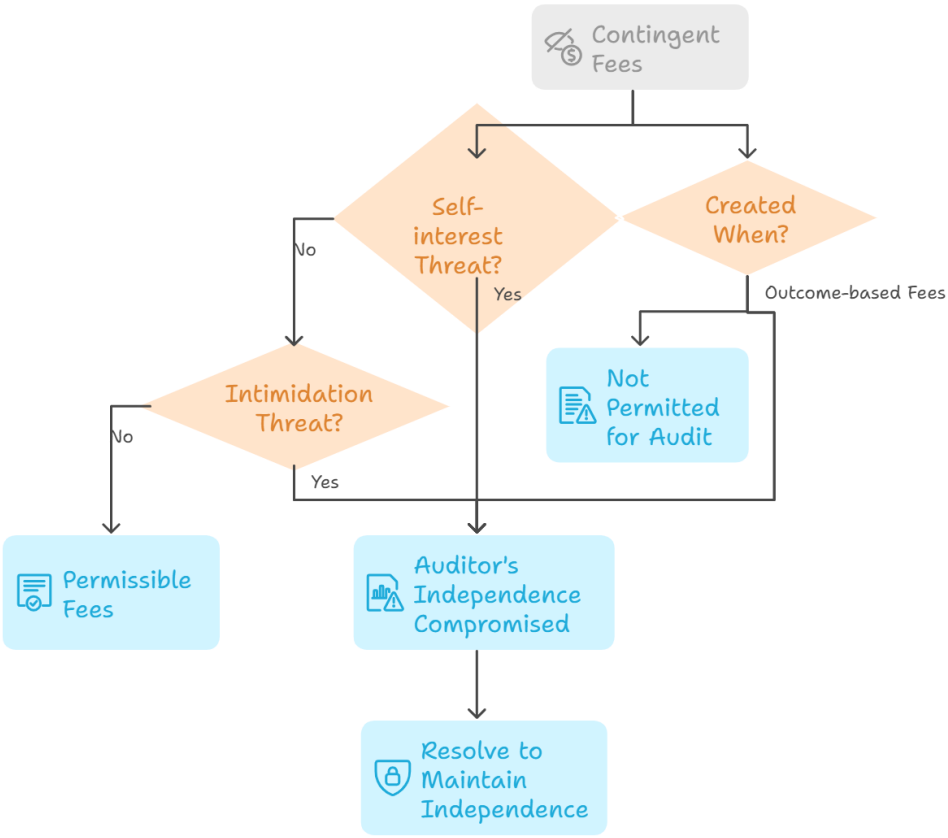
The fee is material to the firm

The outcome of the non-assurance service is dependent on a future judgement related to the audit of a material amount in the financial statements.

Why it's important to resolve this issue?

The auditor would have incentive to ensure a particular outcome is achieved in order to maximise the audit fee

Contingent Fees and Auditor Independence



10. Long association of senior personnel

- Familiarity Threat
- Self-interest Threat

When created?

When the auditor becomes too sympathetic or too trusting of a client and loses professional scepticism, or where the relationship between the auditor and client goes beyond professional boundaries

A **self-interest** threat might be created due to an individual's concern about losing a long-standing client or interest in maintaining a close personal relationship with a member of senior management or TCWG. Such threats might influence the individual's judgment, impairing objectivity and reducing professional scepticism.

Listed

an individual cannot act in any of the following roles (or a combination thereof) for more than seven cumulative years (the "time-on" period):

- the engagement partner;
- the individual responsible for the engagement quality review (see Chapter 5);
- any other key audit partner role.

After the time-on period, the "cooling-off" period is:

- 5 years – engagement partner;
- 3 years – engagement quality reviewer;
- 2 years – other key audit partners.

During the cooling-off period, the individual shall not:

• Be an engagement team member.

• Consult with the engagement team or client.

• Be responsible for, or provide, other professional services to the audit client.

• Undertake any role which would require significant interaction with senior management or directly influence the outcome of the audit.

Become Listed

- If five years or less, it is seven years less the number of years already served (e.g. a key audit partner with time on of four years may serve an additional three years).
- If six or more, the individual may continue to serve with the concurrence of TCWG for a maximum of two additional years.

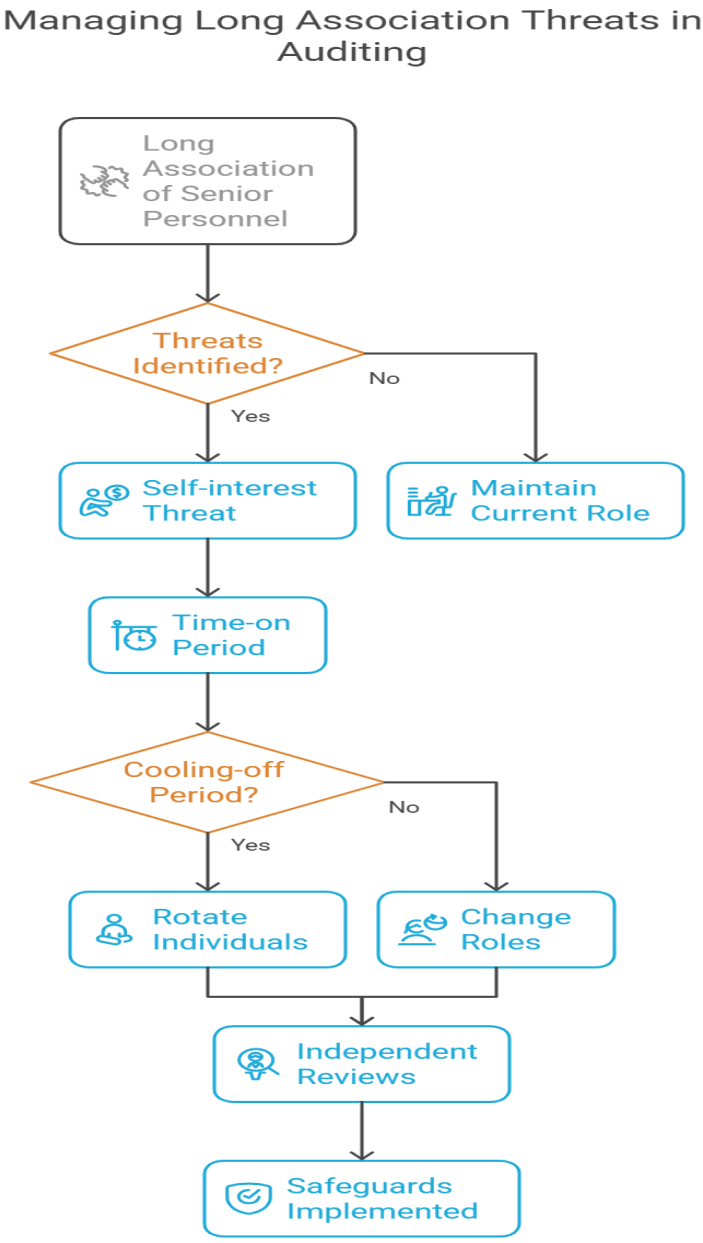
Safeguards

Rotate individuals off the audit team.

Change the role of the individual or the nature of the tasks they perform.

Have an appropriate reviewer who was not a member of the audit team review the work performed.

Perform regular independent internal or external quality reviews of the engagement.



11. Family and personnel relationship

- familiarity threat
- self-interest
- intimidation threat

When created?

may occur when a member of the engagement team has a family or personal relationship with someone at the client who is able to exert significant influence over the financial statements

significance of the threats will depend on factors

- the nature or closeness of the relationship;
- the position held by the family member/client's employee; and
- the role of the audit team member.

The more senior the individuals involved, the greater the threat. Therefore, an individual **cannot** be an audit team member if an immediate family member

Safeguard

- Remove the individual from the audit team.
- Structure the engagement team so that the individual does not deal with matters that are the responsibility of the family member.



12. Recruitment services

- Familiarity Threat
- self-interest Threat
- intimidation Threat

when created?

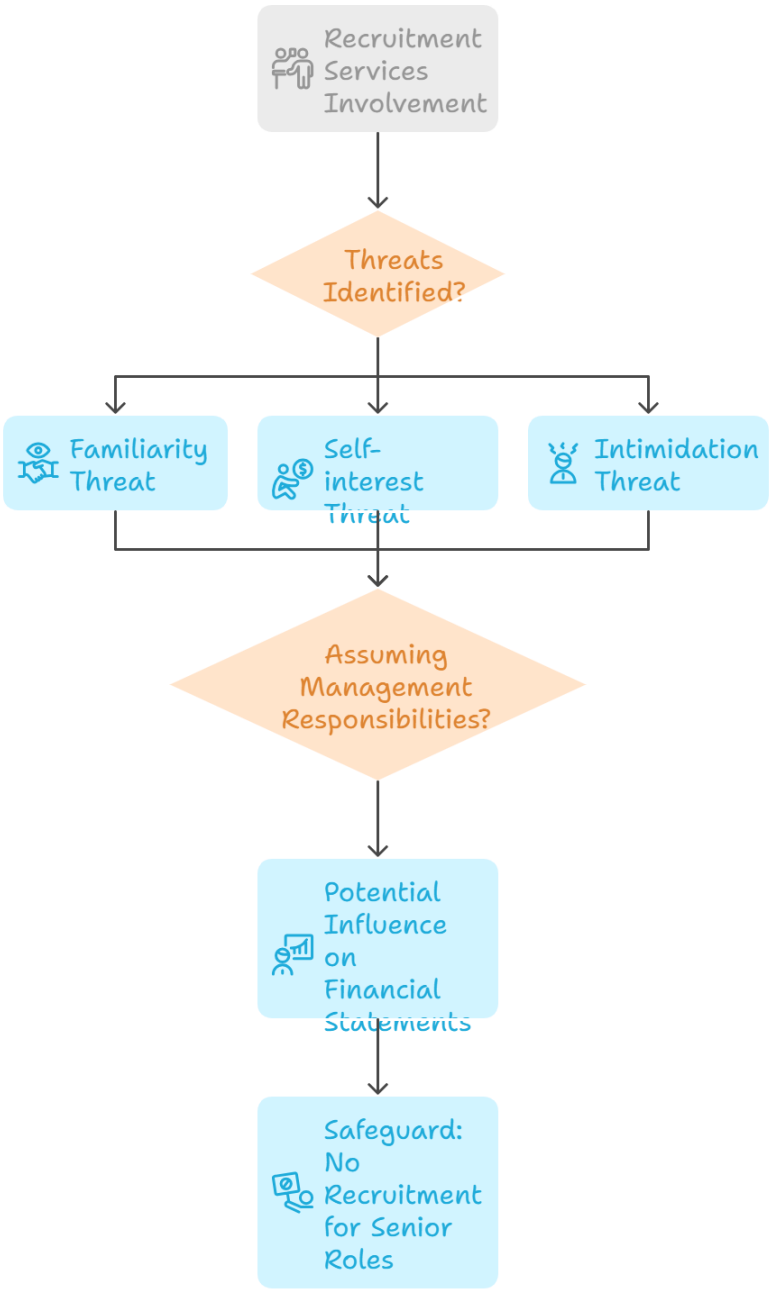
may arise if the firm is involved in recruiting senior personnel for the client.

The firm may also be considered to be assuming management responsibilities.

Safeguard

The firm cannot provide recruitment services in respect of directors or senior management who would be in a position to exert significant influence over the financial statements.

Recruitment Services Threats and Safeguards



13. Accounting and bookkeeping services

- Self-review threat

When created?

Providing accounting and bookkeeping services for an audit client

Preparing accounting records and financial statements including:

determining accounting policies originating

changing journal entries

determining account classifications of transactions

Recording transactions

Payroll services.

Note:

Discussing accounting treatments and proposing adjusting journal entries are a normal part of the audit process and do not create threats as long as the client is responsible for making decisions in the preparation of the financial statements.

Non-listed clients

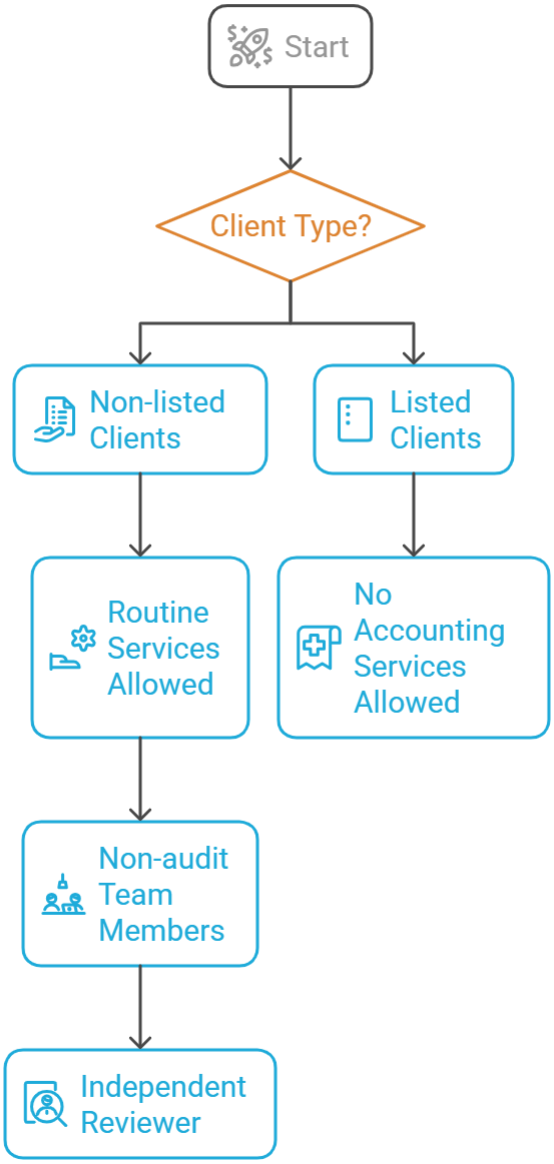
Audit firms may provide routine, mechanical accounting services (R601.5), ensuring:

- Non-audit team members perform the work.
- An independent reviewer assesses the service.

Listed clients

A firm cannot provide a listed audit client with accounting and bookkeeping services.

Guidelines for Providing Accounting Services



14. Internal audit services

- Self-review threat

When created?

The auditor may later audit their own work, compromising objectivity.

the audit firm must be satisfied that management takes full responsibility for the internal audit activities and internal controls to avoid assuming management responsibilities.

Non-listed clients

Professionals who are not audit team members must be used to perform the internal audit service.

Listed clients

A firm cannot provide internal audit services for a listed audit client.



15. Tax services

- self-review threat
- advocacy threat

Tax services include:

1. Tax return preparation
2. Tax calculations for preparing accounting entries
3. Tax planning and advisory services
4. Tax services involving valuations
5. Assistance in the resolution of tax disputes

The firm should consider:

The characteristics of the engagement.

The level of tax expertise of the client's employees.

The complexity of the tax regime.

1. Tax return preparation

Completion of tax returns does not usually create a threat as the returns are based on historical information and subject to approval by the tax authority.

2. Tax calculations

Non-listed

clients the firm should use professionals who are not audit team members to perform the service, and an appropriate reviewer who was not involved in providing the service should review the audit work or service performed.

Listed

clients the firm must not prepare tax calculations of current or deferred tax for listed audit clients.

3. Tax planning and advisory services

A firm shall not provide tax planning and advisory services to an audit client when the effectiveness of the tax advice depends on a particular accounting treatment.

Safe guard

- Use professionals who are not audit team members to perform the service.
- Have an appropriate reviewer who was not involved in providing the service to review the audit work or service performed.
- Obtain pre-clearance from the tax authorities.

4. Assistance in the resolution of tax disputes

Non-listed clients

A firm shall not act as an advocate for the audit client before a public tribunal or court in the resolution of a tax matter if the amounts are material to the financial statements.

Safeguard

Use professionals who are not audit team members to perform the service.

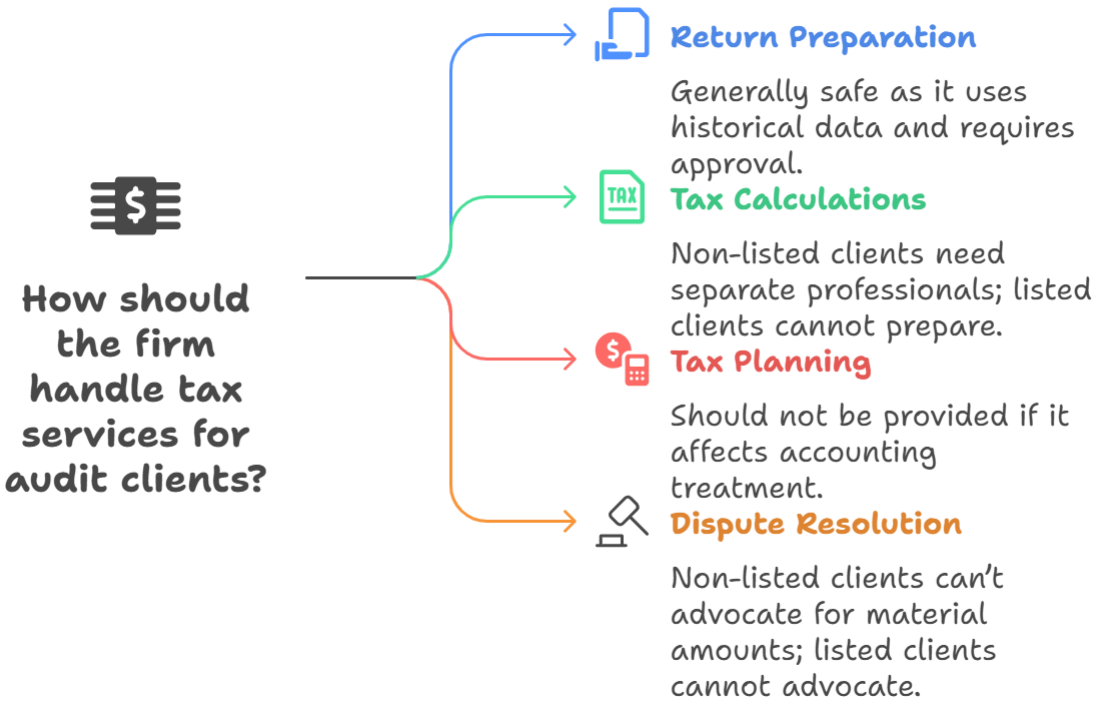
Have an appropriate reviewer who was not involved in providing the service to review the audit work or service performed.

Listed Client

A firm shall not act as an advocate for a listed audit client before a public tribunal or court in the resolution of a tax matter.

The firm may provide **advisory services**, such as:

- Responding to client inquiries.
- Providing factual accounts of work performed.
- Assisting with tax issue analysis.



16. Valuation service

- Self-review threat
- Advocacy threat

The firm should consider:

The use and purpose of the valuation report, including whether the report will be made public.

The extent of the client's involvement in determining matters of judgement.

The degree of subjectivity.

Whether the valuation will have a material effect on the financial statements.

The degree of dependence on future events that might create significant volatility in the amounts involved.

Non-listed Client

Valuation services shall not be provided to audit clients if the valuation involves a significant degree of subjectivity and the valuation will have a material effect on the financial statements.

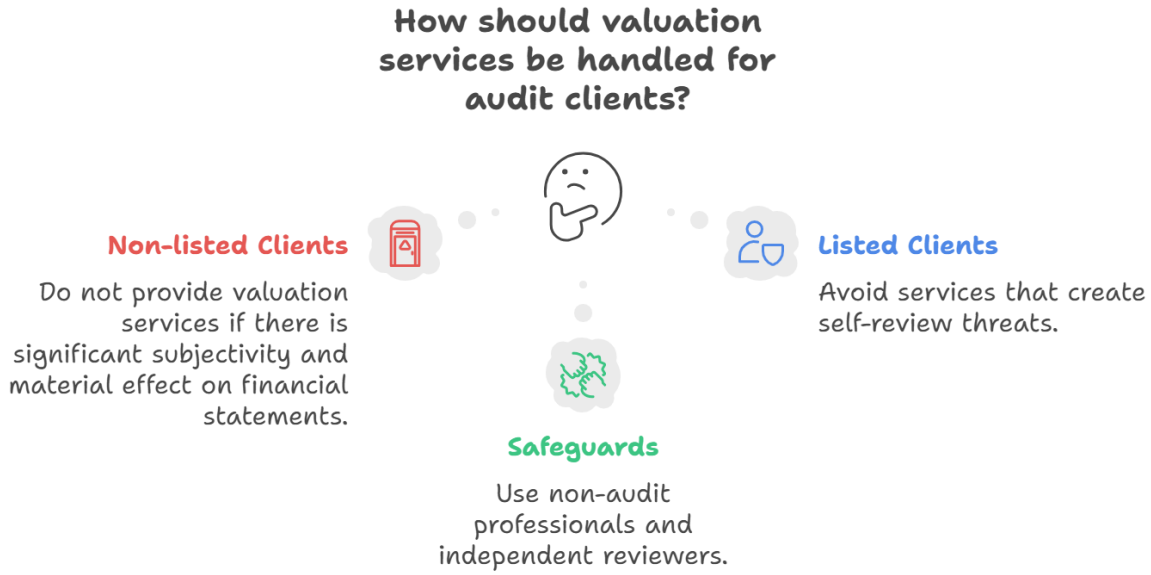
Listed clients

Valuation services should not be provided to listed audit clients if the service will create a self-review threat.

Safe guard

Use professionals who are not audit team members to perform the service.

Have an appropriate reviewer who was not involved in providing the service review the audit work or service performed.



17. IT Service

- Self-review Threat
- also be considered to be assuming management responsibilities.

The firm should consider:

The nature of the service.

The nature of IT systems and the extent to which they impact

or interact with the client's accounting records or financial statements.

The degree of reliance that the audit team will place on the IT systems.

The firm can provide IT services which involve:

- Design or implementation of IT systems unrelated to internal controls or financial reporting.
- Implementation of off-the-shelf accounting software that was not developed by the audit firm and does not require significant customisation

All Client

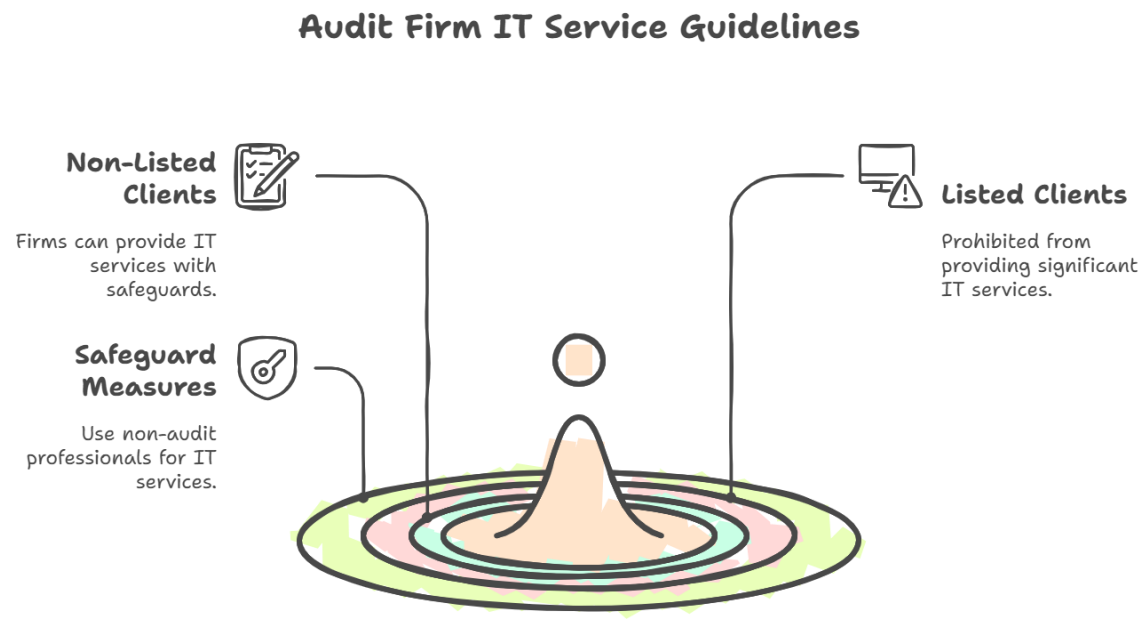
Safeguard

When providing such services, the firm should use professionals who are not audit team members to perform the service.

The audit firm must be satisfied that management takes full responsibility for the IT controls and systems.

Listed Client

A firm shall not provide IT systems services to a listed client that form a significant part of the internal controls over financial reporting or generate information that is significant to the financial statements.



18. Corporate finance services

- Self-review threat
- Advocacy threat

When created?

Assists an audit client in developing corporate strategies. Identifies possible targets for the audit client to acquire. Advises on disposal transactions. Assists in raising finance. Provides structuring advice

Listed

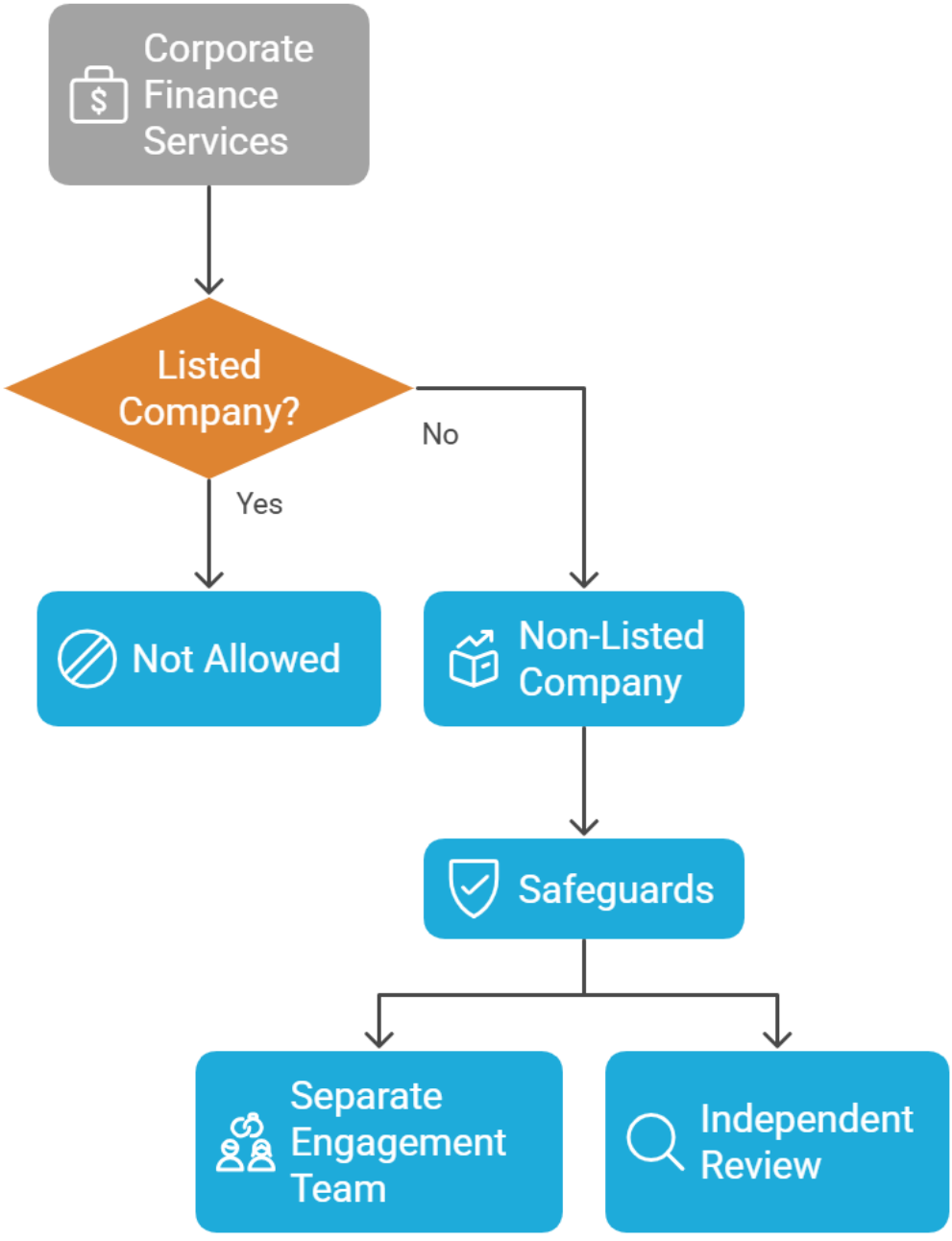
- Not allowed

Non-listed

Safeguard

- Separate Engagement Team
- Independent Review

Corporate Finance Services and Ethical Considerations



1G. Legal services

- Self-review threat
- Advocacy threat

Listed

Not allowed to provide this service

Non listed Client

Can provide service with safeguard

The firm should consider

The materiality of the matter in relation to the financial statements.

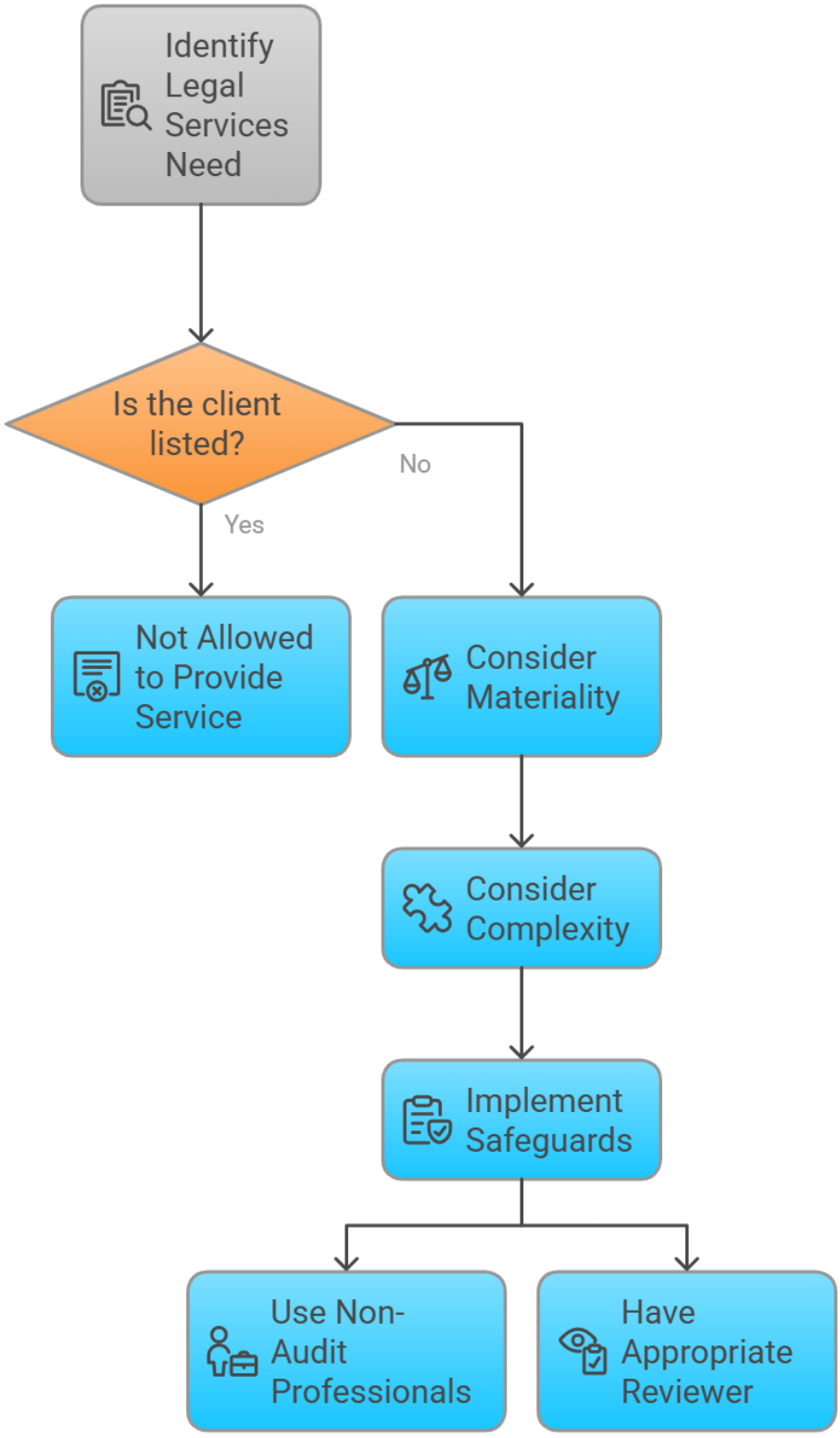
The complexity of the legal matter and the degree of judgement necessary.

Safe guard

Use professionals who are not audit team members to perform the service.

Have an appropriate reviewer who was not involved in providing the service review the audit work or service performed.

Legal Services Decision Flowchart



21. Temporary personnel assignment

- Self-review threat
- Advocacy Threat
- Familiarity Threat

Lised client

- Providing service is not allowed

Unlisted Client

Staff may be loaned to the client provided

- The loan period is short
- The person does not assume management responsibilities.
- The client is responsible for directing and supervising the person.

Safeguard

Additional review of the work performed by the loaned personnel.

Not including the loaned personnel on the audit team.

Not giving the loaned personnel audit responsibility for any function that they performed during the loaned assignment.

Personnel Assignment Guidelines

